

selves to value-added sellers. If you walk down to Lamington Road or Nehru Place, there used to be close to about 400 dealers, but now there are around 200. Where are the other 200 dealers? They have either migrated to another business or upgraded their business. So, the fight against e-commerce, we shouldn't be concerned about it since they have reached places where dealers haven't. They have given brands a space where you can talk about your product without any biases. So, yes, for the channel front there are some product lines that are advantageous. ASUS' advantage is this, we have close to around 22 different product categories. Some go exclusively on e-commerce platforms, like the Zenfones. But the motherboards are predominantly on the channel, where the build quality and how-to-assemble guides are all present. But, if you see the branded desktops, they are present in both spheres. So, I don't think there is a complete shift, but they have put a good kind of pressure on the dealers to promote the products based on their features.

Q Since you spoke of networking, it has come to our attention that ASUS is pushing that particular segment now. Could you elaborate more on this?

Shetty: Yes. So earlier networking was used for providing the people who wanted the routers with it or service provider themselves would give it to them. Back then, you still had issues with the bandwidth. Now, the bandwidth that is available and the devices available in every house are drastically different. 2.4 was okay, 5 is common. Now, we are talking about the AiMesh. Everyone desires a seamless network, that works without any interruptions, even a 1,000 sq ft home. No one wants a drop in their network. Firstly, we found that the demand for routers have gone up considerably after the boom of the mobile business. Secondly, the gaming community that has emerged in the last two years, their demand has also risen greatly. We have a special category only dedicated to ROG Wi-Fi routers, like the Raptures, only catered to gamers. We saw that the space is there. Project-wise, we do not get into commercials at this time since we still want to be in the SOHO space. I think routers are best suited to the SOHO

market, although they are predominantly still for the end-user because of the huge base. We see Wi-Fi and mini-PCs as being a great business opportunity for us in the next two years.

Q You mentioned that you foresee great growth in two sectors, networking and Mini-PCs. From what I understand, Mini-PCs have not done so well in the market till now, so what has changed which will propel this growth?

Shetty: If you look at Mini-PCs from an end-consumer point of view, he will not buy it. He still needs the big, 1 litre or 10 litre kind of set-up. PC is still that unit, so he doesn't change. However, the verticals have been created in digital signage - offices. They don't need the big, bulky units. They require small units. This Chrome device I have, if you look at the size of it, I'm loading it with Chrome for Meeting. A PC goes with a video conferencing device. If I just give some kind of a number, its in thousands, for this kind of order only. On a Chrome platform. We do not need to be conventional for any particular operating system. But the opportunities have spread out vastly that the small form factor which used to be pushed to the end-user or home user has changed. It's now the corporates, to name a few - Dr Agarwal: Sai Hospital, Uber, Airbnb, Big Basket, these are the clientele base that are using these PCs now. You gauge it with the number of centers these corporates have all over India, and how many PCs they are using. This just barely scratches my entire commercial customer base. They don't get a commercial desktop or laptop. They use it mainly from a utility point of view. Thousands of these video conferencing, will replace conventional video conferencing kits, because of easier licensing, cheaper hardware and more space.

Q Is it the lack of awareness of the prowess of the small form factor PC that is causing general users to go the traditional route?

Shetty: Yes, they think this PC won't do the job. They think it won't do justice to their PC requirements. For them, small is irrelevant. That theory has to change. The way it has been promoted as well is a factor. For example, Stick PC is the size of a marker and you won't be able to run

AutoCAD on it, that is dangerously wrong promotion. They need to promote it by saying, "this is for html page opening, checking mails, working on the cloud, it is good enough for that." Then you keep going for bigger form factors according to your requirements and for gaming you buy the 20 kg machines. The user scenario has to be defined, otherwise, it will backfire.

Q Another thing that most of the gamers and enthusiasts want to know is GPU pricing. There's barely any stock in the market because of Bitcoin mining or any cryptocurrency mining. When do you see this craze either dying out or coming to a level of proper pricing?

Shetty: Every business looks at the opportunity side, to understand how to make more money. What has happened is over a period of the last 2-3 months, the prices have begun declining. However, the bottom to it is unknown, because they will probably never go back to the base level. The GPU requirement and the spread is global, so some region's mining is still popular and the demand is huge. If someone were to allocate a particular amount of chipset, production would say that this (mining) is giving us better returns and higher margins of almost two to three times, so we move it. Gamers shouldn't be wary of when it (price) will come down further since there is a reverse effect where the exchange value is going up. The problem is finding a balance, since if the price goes down, the exchange rate will go down by 5%. The gap remains. They should buy products based on their requirements not price. The price will come down for sure, because it was a demand-supply issue. It was also a scenario for everyone to make money. I faced a scenario where I was pushing for thousands of units and used to get 10 units as allocation against the global demand, not just India. It (the price) will be normal sooner, mining globally has been clamped down, having an open farm will come down. But till that time, you don't control the Bitcoins, which I fear, will not happen soon. But sooner or later, the gamers themselves will establish the final price and the enthusiasts will understand that this is what I have to pay. Right now, we are in the transition period between both of them, so it will take some time. 